

## Ajax Engineering Ltd.

### Company Overview:

**Ajax Engineering Ltd. (Ajax)** is a leading concrete equipment manufacturer offering a comprehensive range of concrete equipment, services & solutions across the value chain. As of Sep'24, the company has developed over 141 concrete equipment catering to the value chain. The company's product portfolio includes i) Self-loading concrete mixers (SLCM), ii) Batching plants, iii) Transit mixers, iv) Self-propelled boom pump, v) Concrete slip-form paver and vi) 3D concrete printer. Ajax's products are sold under the 'Argo' brand and utilize a variety of drum outputs (1.0 to 4.8 cubic meters per batch) which can cater to a wide range of industrial and infrastructure projects.

### Key Highlights:

**1. Market leader in the SLCM segment:** During, FY22/FY23/ FY24/1HFY25 the company held approximately 86%/77%/75%/77% market share respectively in the number of SLCMs sold showcasing its market leadership. Further, during the past 10 years the company sold over 25,000 SLCMs in India, the highest among leading concrete equipment manufacturer. The company's SLCMs also command the highest resale value as of FY24 among leading concrete manufacturers in India due to their first-mover advantage, high quality & reliability in products and strong after sales services. As of FY22/FY23/FY24/1HFY25 sales of SLCM stood at 1,930/2,962/4,625/1,933 units respectively.

**2. Diverse portfolio across the concrete application value chain:** The company's diverse product portfolio of 141 products finds its use throughout the concrete application value chain including production, transportation, placement, paving and printing. Further, during the last 10 years it has sold over 29,800 concrete equipment to over 19,900 customers in India.

**3. Robust distributor network:** Ajax has built a dealer-led distribution and service model over the years comprising of 51 dealerships across 23 states in India. As of Sep'24, the company possess the largest dealer network in India in terms of dealers and service touchpoints. Ajax is accessible to customers through 114 touchpoints including 51 dealer headquarters, 29 branches and 34 service centers managed and operated by the dealers. As of Sep'24, the company has maintained relationships exceeding 5 years with 21 dealers, which constitutes ~41.2% of the total dealer network.

**4. Diverse customer base:** The company has a diverse base of end customers including individual contractors, small & mid-sized contracting companies, rental companies, large construction companies and government construction agencies. Ajax's customer base is tailored to specific applications of equipment and spanning specialized sectors such as transportation infrastructure, irrigation and infrastructure projects. The company has built longstanding relationships with customers and has served over 11,100/12,100/15,700/19,000 customers as of FY22/FY23/ FY24/1HFY25 respectively.

**Valuation:** The company is valued at FY24 P/E and EV/EBITDA multiple of 32.0x and 25.9x respectively based on the upper price band on the post-issue capital. The company is the market leader in the self-loading concrete mixers segment holding approximately 86%/77%/75%/77% in FY22/FY23/FY24/1HFY25 respectively in terms of units sold. It possesses a robust dealer network of ~51 dealerships across India and has served over 19,000 customers as of 1HFY25. The company has delivered strong Revenue/EBITDA/PAT CAGR of 51.0%/ 74.5%/84.4% respectively in the period between FY22-FY24 and is debt-free.

| Issue Details                 |                                                                                                               |
|-------------------------------|---------------------------------------------------------------------------------------------------------------|
| Date of Opening               | 10 <sup>th</sup> February 2025                                                                                |
| Date of Closing               | 12 <sup>th</sup> February 2025                                                                                |
| Price Band (Rs)               | 599 – 629                                                                                                     |
| Offer for sale (shares)       | 2,01,80,446                                                                                                   |
| Fresh Issue (Rs cr)           | -                                                                                                             |
| Issue Size (Rs cr)            | 1,209 – 1,269                                                                                                 |
| No. of shares                 | 2,01,80,446                                                                                                   |
| Face Value (Rs)               | 1                                                                                                             |
| Post Issue Market Cap (Rs cr) | 6,853 – 7,196                                                                                                 |
| BRLMs                         | ICICI Securities, Citigroup Global Markets India, JM Financial, Nuvama Wealth Management, SBI Capital Markets |
| Registrar                     | MUFG Intime India Pvt Ltd.                                                                                    |
| Bid Lot                       | 23 shares and in multiple thereof                                                                             |
| QIB shares                    | 50%                                                                                                           |
| Retail shares                 | 35%                                                                                                           |
| NIB shares                    | 15%                                                                                                           |
| Employee Discount             | Rs 59 per share                                                                                               |

| Objects of Issue                |                                                 |
|---------------------------------|-------------------------------------------------|
|                                 | Estimated utilization from net proceeds (Rs cr) |
| Total proceeds from fresh issue | NA                                              |

Since, the IPO entirely consists of Offer for Sale (OFS) there are no objects of the issue.

| Shareholding Pattern      |               |       |
|---------------------------|---------------|-------|
| Pre-Issue                 | No. of Shares | %     |
| Promoter & Promoter Group | 10,69,70,000  | 93.5  |
| Public & Others           | 74,36,800     | 6.5   |
| Total                     | 11,44,06,800  | 100.0 |

| Post Issue @ Lower Price Band | No. of Shares | %     |
|-------------------------------|---------------|-------|
| Promoter & Promoter Group     | 9,42,26,354   | 82.4  |
| Public & Others               | 2,01,80,446   | 17.6  |
| Total                         | 11,44,06,800  | 100.0 |

| Post Issue @ Upper Price Band | No. of Shares | %     |
|-------------------------------|---------------|-------|
| Promoter & Promoter Group     | 9,42,26,354   | 82.4  |
| Public & Others               | 2,01,80,446   | 17.6  |
| Total                         | 11,44,06,800  | 100.0 |

Source: RHP, SSL Research

## Key Financials

| Particulars (Rs cr)     | FY22  | FY23    | FY24    | 1HFY25 |
|-------------------------|-------|---------|---------|--------|
| Revenue from operations | 763.3 | 1,151.1 | 1,741.4 | 770.0  |
| EBITDA                  | 90.5  | 170.7   | 275.5   | 119.2  |
| PAT                     | 66.2  | 135.9   | 225.1   | 101.0  |
| EBITDA Margin (%)       | 11.9  | 14.8    | 15.8    | 15.5   |
| PAT Margin (%)          | 8.7   | 11.8    | 12.9    | 13.1   |
| RoE (%)                 | 11.4  | 19.0    | 24.5    | -      |
| RoCE (%)                | 15.5  | 25.4    | 32.9    | -      |
| P/E (x)*                | 108.7 | 53.0    | 32.0    | -      |

Source: RHP, SSL Research

\*Pre-issue based on upper price band

## Risk Factors

- **Revenue concentration risk:** The company derived 77.4%/83.1%/85.1%/81.5% of its FY22/FY23/FY24/1HFY25 revenue respectively from sale of Self-loading concrete mixers.
- **Cyclicality risk:** The concrete equipment industry in India is cyclical in nature and is primarily driven by government infrastructure investment.
- **Raw material risk:** Cost of raw materials stood at 71.8%/71.9%/73.3%/69.6% of FY22/FY23/FY24/1HFY25 revenue respectively.
- **Manufacturing facility risk:** All of the manufacturing facilities are located in Karnataka which exposes them to regional risks.
- **Compliance risk:** The company has few instances of non-compliance with respect to certain regulatory filings for corporate actions taken by the company in the past.

## Growth Strategy

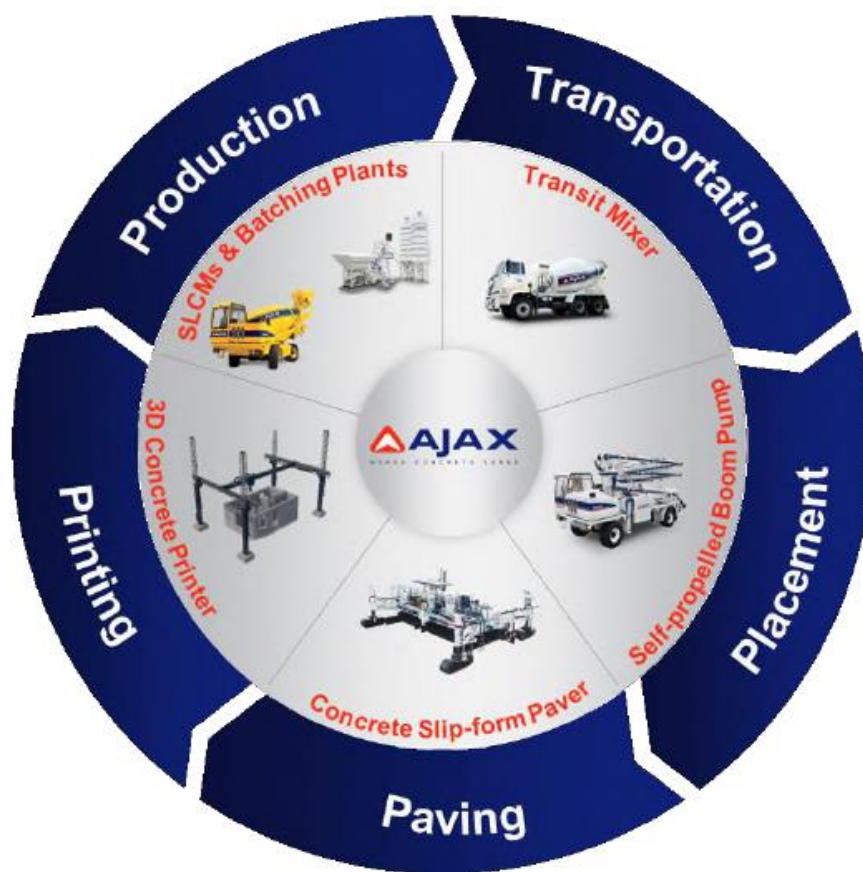
- Maintain leadership position and grow market share of SLCM portfolio by developing innovative products to cater to new untapped markets.
- Strengthen capabilities and increase market share of non-SLCM portfolio.
- Improve operational efficiencies.
- Increase presence in overseas markets through exports.
- Explore opportunities for inorganic growth.

## Revenue Mix – Segment wise

| Particulars       | FY22         |                 | FY23           |                 | FY24           |                 | 1HFY25       |                 |
|-------------------|--------------|-----------------|----------------|-----------------|----------------|-----------------|--------------|-----------------|
|                   | Rs cr        | as a % of Total | Rs cr          | as a % of Total | Rs cr          | as a % of Total | Rs cr        | as a % of Total |
| SLCM              | 591.1        | 77.4            | 956.2          | 83.1            | 1,482.5        | 85.1            | 627.4        | 81.5            |
| Non-SLCM          | 99.5         | 13.0            | 107.9          | 9.4             | 154.1          | 8.8             | 78.9         | 10.2            |
| Spare parts       | 67.0         | 8.8             | 81.7           | 7.1             | 98.4           | 5.7             | 57.3         | 7.4             |
| Services & Others | 5.7          | 0.7             | 5.4            | 0.5             | 6.4            | 0.4             | 6.4          | 0.8             |
| <b>Total</b>      | <b>763.3</b> | <b>100.0</b>    | <b>1,151.1</b> | <b>100.0</b>    | <b>1,741.4</b> | <b>100.0</b>    | <b>770.0</b> | <b>100.0</b>    |

Source: RHP, SSL Research

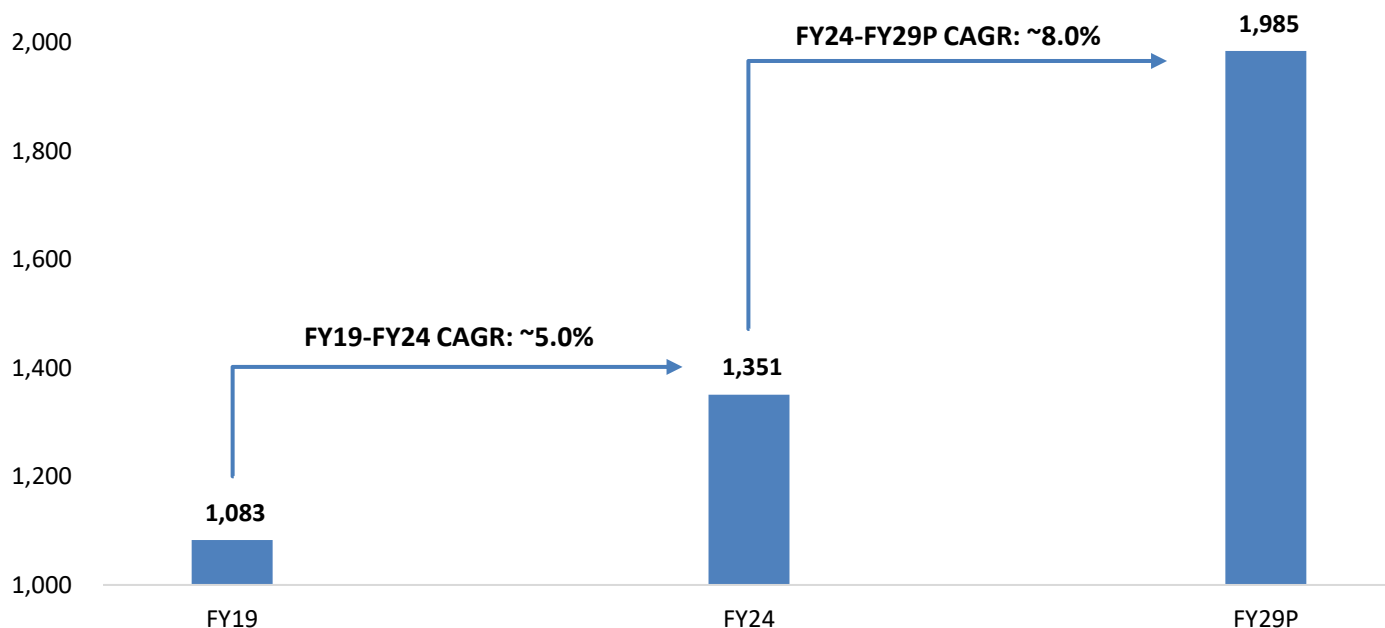
## Product Portfolio as of Sep'24



Source: RHP, SSL Research

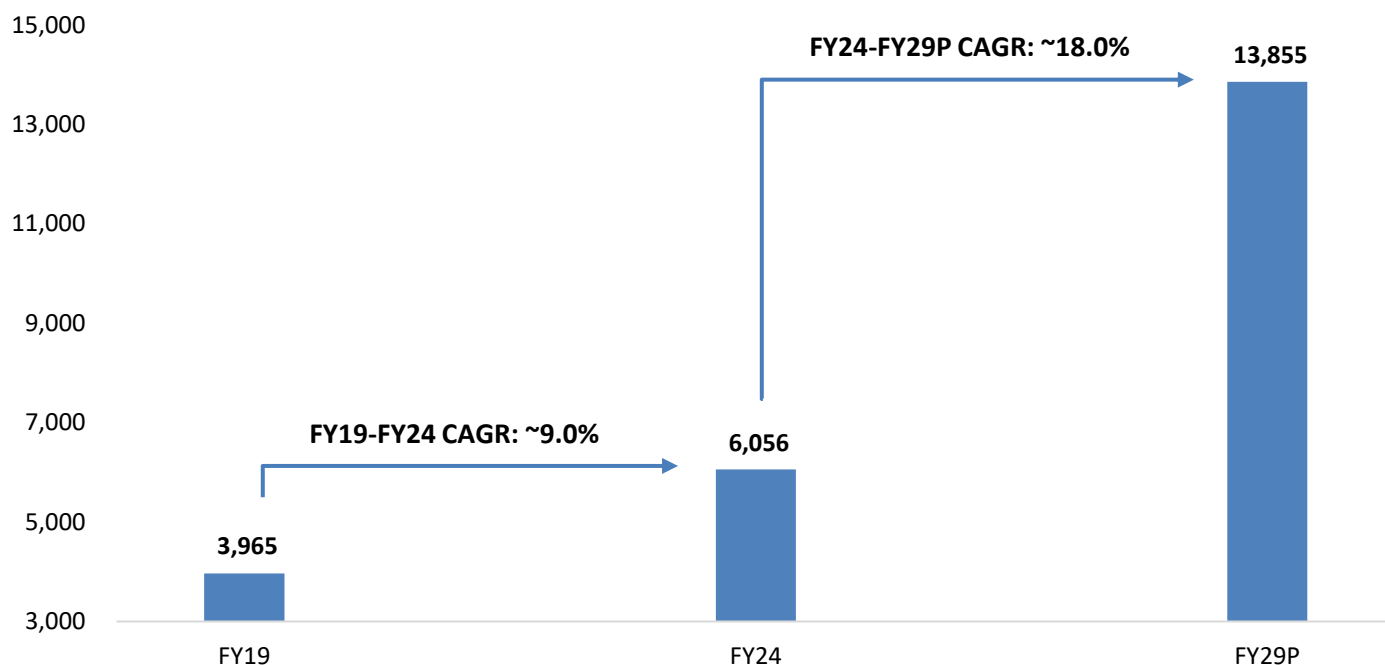
## Industry Overview

### Domestic Concrete Consumption (Million Cubic Meters)



Source: RHP, SSL Research

### Self-Loading Concrete Mixers sold (number of units)



Source: RHP, SSL Research

## Financial Snapshot

| INCOME STATEMENT                    |             |              |              |
|-------------------------------------|-------------|--------------|--------------|
| Particulars (Rs cr)                 | FY22        | FY23         | FY24         |
| <b>Revenue from Operations</b>      | <b>763</b>  | <b>1,151</b> | <b>1,741</b> |
| <i>YoY growth (%)</i>               | -           | 50.8%        | 51.3%        |
| Cost Of Revenues (incl Stock Adj)   | 548         | 828          | 1,276        |
| <b>Gross Profit</b>                 | <b>215</b>  | <b>323</b>   | <b>465</b>   |
| <b>Gross margin (%)</b>             | <b>28.2</b> | <b>28.1</b>  | <b>26.7</b>  |
| Employee Cost                       | 67          | 72           | 87           |
| Other Operating Expenses            | 58          | 80           | 103          |
| <b>EBITDA</b>                       | <b>90</b>   | <b>171</b>   | <b>276</b>   |
| <b>EBITDA margin (%)</b>            | <b>11.9</b> | <b>14.8</b>  | <b>15.8</b>  |
| Other Income                        | 9           | 21           | 39           |
| Interest Exp.                       | -           | 1            | 2            |
| Depreciation                        | 8           | 9            | 10           |
| <b>PBT</b>                          | <b>90</b>   | <b>183</b>   | <b>302</b>   |
| Exceptional item/Extraordinary item | -           | -            | -            |
| Tax                                 | 24          | 47           | 77           |
| <b>PAT</b>                          | <b>66</b>   | <b>136</b>   | <b>225</b>   |
| <b>PAT margin (%)</b>               | <b>8.7</b>  | <b>11.8</b>  | <b>12.9</b>  |
| <b>EPS</b>                          | <b>5.8</b>  | <b>11.9</b>  | <b>19.7</b>  |

| BALANCE SHEET                               |            |            |            |
|---------------------------------------------|------------|------------|------------|
| Particulars (Rs cr)                         | FY22       | FY23       | FY24       |
| <b>Assets</b>                               |            |            |            |
| Net Block                                   | 105        | 114        | 116        |
| Capital WIP                                 | 7          | 6          | 17         |
| Intangible Assets                           | 4          | 3          | 2          |
| Right of use assets                         | 49         | 50         | 50         |
| Other Non-current Assets                    | 15         | 39         | 83         |
| <b>Current Assets</b>                       |            |            |            |
| Current Investment                          | 291        | 472        | 561        |
| Inventories                                 | 172        | 173        | 227        |
| Trade receivables                           | 55         | 75         | 88         |
| Cash and Bank Balances                      | 23         | 9          | 71         |
| Other Current Assets                        | 15         | 26         | 21         |
| <b>Total Current Assets</b>                 | <b>556</b> | <b>755</b> | <b>969</b> |
| <b>Current Liabilities &amp; Provisions</b> |            |            |            |
| Trade payables                              | 58         | 160        | 209        |
| Other current liabilities                   | 72         | 56         | 68         |
| Short-term provisions                       | 14         | 18         | 24         |
| <b>Total Current Liabilities</b>            | <b>144</b> | <b>234</b> | <b>300</b> |
| <b>Net Current Assets</b>                   | <b>412</b> | <b>522</b> | <b>669</b> |
| <b>Total Assets</b>                         | <b>592</b> | <b>733</b> | <b>936</b> |
| <b>Liabilities</b>                          |            |            |            |
| Share Capital                               | 3          | 11         | 11         |
| Reserves and Surplus                        | 575        | 702        | 907        |
| <b>Total Shareholders' Funds</b>            | <b>578</b> | <b>714</b> | <b>918</b> |
| <b>Total Debt</b>                           | <b>7</b>   | <b>10</b>  | <b>6</b>   |
| Long Term Provisions                        | 3          | 3          | 1          |
| Lease Liabilities                           | -          | 1          | 2          |
| Net Deferred Tax Liability                  | 3          | 4          | 9          |
| <b>Total Liabilities</b>                    | <b>592</b> | <b>733</b> | <b>936</b> |

| Cashflows (Rs cr)                   | FY22  | FY23  | FY24  |
|-------------------------------------|-------|-------|-------|
| Cash flow from Operating Activities | 85    | 185   | 207   |
| Cash flow from Investing Activities | (129) | (193) | (116) |
| Cash flow from Financing Activities | -     | -     | (25)  |
| Free Cash Flow                      | 70    | 167   | 184   |

| RATIOS                          |       |       |       |
|---------------------------------|-------|-------|-------|
|                                 | FY22  | FY23  | FY24  |
| <b>Profitability (%)</b>        |       |       |       |
| Return on Capital Employed      | 15.5  | 25.4  | 32.9  |
| Return on Equity                | 11.4  | 19.0  | 24.5  |
| <b>Margin Analysis (%)</b>      |       |       |       |
| Gross Margin                    | 28.2  | 28.1  | 26.7  |
| EBITDA Margin                   | 11.9  | 14.8  | 15.8  |
| Net Profit Margin               | 8.7   | 11.8  | 12.9  |
| <b>Short-Term Liquidity</b>     |       |       |       |
| Current Ratio (x)               | 3.7   | 3.1   | 3.2   |
| Quick Ratio (x)                 | 2.5   | 2.4   | 2.4   |
| Avg. Days Sales Outstanding     | 26    | 24    | 18    |
| Avg. Days Inventory Outstanding | 82    | 55    | 48    |
| Avg. Days Payables              | 28    | 51    | 44    |
| Fixed asset turnover (x)        | 5.0   | 7.0   | 10.5  |
| Debt-service coverage (x)       | 12.0  | 17.0  | 36.8  |
| <b>Long-Term Solvency</b>       |       |       |       |
| Gross Debt / Equity (x)         | -     | -     | -     |
| Interest Coverage Ratio (x)     | 215.8 | 272.0 | 149.9 |
| <b>Valuation Ratios</b>         |       |       |       |
| EV/EBITDA (x)                   | 79.4  | 42.2  | 25.9  |
| P/E (x)                         | 108.7 | 53.0  | 32.0  |
| P/B (x)                         | 12.4  | 10.1  | 7.8   |
| EV/Sales (x)                    | 9.4   | 6.3   | 4.1   |

Source: RHP, SSL Research

## Peer Comparison

| Particulars (Rs cr)   | Ajax Engineering Ltd. | Action Construction Equipment Ltd. | BEML Ltd. | Escorts Kubota Ltd. |
|-----------------------|-----------------------|------------------------------------|-----------|---------------------|
| CMP (Rs)              | 629.0                 | 1,233.0                            | 3,381.0   | 3,325.0             |
| Sales                 | 1,741.4               | 2,913.8                            | 4,054.3   | 8,849.6             |
| EBITDA                | 275.5                 | 403.2                              | 442.2     | 1,166.7             |
| Net Profit            | 225.1                 | 328.2                              | 281.8     | 1,049.1             |
| Mkt Cap.              | 7,196.2               | 14,683.0                           | 14,080.0  | 37,199.4            |
| Enterprise Value      | 7,131.2               | 14,638.6                           | 14,132.5  | 36,993.8            |
| EBITDA Margin (%)     | 15.8                  | 13.8                               | 10.9      | 13.2                |
| Net Profit Margin (%) | 12.9                  | 11.3                               | 6.9       | 11.9                |
| P/E (x)               | 32.0                  | 44.7                               | 50.0      | 34.3                |
| EV/EBITDA (x)         | 25.9                  | 36.3                               | 32.0      | 31.7                |
| RoE (%)               | 24.5                  | 26.7                               | 10.6      | 11.4                |
| RoCE (%)              | 32.9                  | 37.1                               | 15.4      | 15.2                |
| EV/Sales (x)          | 4.1                   | 5.0                                | 3.5       | 4.2                 |

The data is based on FY24 financial data.

For Ajax Engineering Limited the Market cap, P/E(x), and EV/EBITDA (x), EV/Sales (x) are calculated on post-issue equity share capital based on the upper price band.

CMP as on 5<sup>th</sup> February, 2025.

Source: RHP, SSL Research

**SBICAP Securities Limited**

(CIN): U65999MH2005PLC155485 | Research Analyst Registration No INH000000602

SEBI Registration No.: Stock Broker: INZ000200032 | CDSL: IN-DP-314-2017 | NSDL: IN-DP-NSDL-369-2014 | Research Analyst: INH000000602

IRDA/RW/IR2/2015/081 | IRDA/RW/IR1/2016/041 | IRDA: CA0103

Registered &amp; Corporate Office: Marathon Futorex, A Wing, 12th Floor, N. M. Joshi Marg, Lower Parel, Mumbai-400013.

For any information contact us:

**022-6854 5555****E-mail: helpdesk@sbicapsec.com | Web: www.sbisecurities.in****DISCLOSURES & DISCLAIMERS:**

**Analyst Certification:** The views expressed in this research report ("Report") accurately reflect the personal views of the research analysts ("Analysts") employed by SBICAP Securities Limited (SSL) about any and all of the subject issuer(s) or company(ies) or securities. This report has been prepared based upon information available to the public and sources, believed to be reliable. I/We also certify that no part of my/our compensation was, is, or will be directly or indirectly related to the specific recommendation(s) or view(s) in this report.

The Analysts engaged in preparation of this Report or his/her relative:-

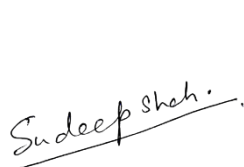
- (a) do not have any financial interests in the subject company mentioned in this Report; (b) do not own 1 or more of the equity securities of the subject company mentioned in the report as of the last day of the month preceding the publication of the research report; (c) do not have any material conflict of interest at the time of publication of the Report.

The Analysts engaged in preparation of this Report:-

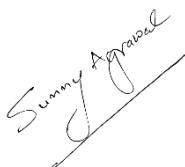
- (a) have not received any compensation from the subject company in the past twelve months; (b) have not managed or co-managed public offering of securities for the subject company in the past twelve months; (c) have not received any compensation for investment banking or merchant banking or brokerage services from the subject company in the past twelve months; (d) have not received any compensation for products or services other than investment banking or merchant banking or brokerage services from the subject company in the past twelve months; (e) has not received any compensation or other benefits from the subject company or third party in connection with the Report; (f) has not served as an officer, director or employee of the subject company; (g) is not engaged in market making activity for the subject company.

| Name             | Qualification                  | Designation                              |
|------------------|--------------------------------|------------------------------------------|
| Sudeep Shah      | MMS-Finance                    | DVP- Technical & Derivative Research     |
| Sunny Agrawal    | B.E, MBA (Finance)             | DVP - Fundamental Research               |
| Rajesh Gupta     | PGDBM (Finance), MA (Bus. Eco) | AVP - Fundamental Research               |
| Monica Chauhan   | C.A.                           | Research Analyst - Equity Fundamentals   |
| Harsh Vasa       | CA                             | Research Analyst - Equity Fundamentals   |
| Sumeet Shah      | B.E., CFA                      | Research Analyst - Equity Fundamentals   |
| Sweta Padhi      | MBA (Finance)                  | Research Analyst - Equity Fundamentals   |
| Uday Chandgothia | B-Tech, MBA (Finance)          | Research Associate - Equity Fundamentals |
| Gautam Updhyaya  | MBA (Finance)                  | Research Analyst - Equity Derivatives    |
| Vinayak Gangule  | BE (IT)                        | Research Analyst - Equity Technicals     |
| Ashwin Ramani    | B.Com                          | Research Analyst- Equity Technicals      |
| Sagar Peswani    | B.Tech (ECE)                   | Research Associate - Equity Technicals   |
| Kalpesh Mangade  | B.Com                          | MIS Analyst - Retail Research            |

For other Disclosures please visit: [https://bit.ly/R\\_disclaimer02](https://bit.ly/R_disclaimer02)


**Sudeep Shah**

DVP – Technical &amp; Derivative Research


**Sunny Agrawal**

DVP – Fundamental Research